Best Practices for AI Adoption
in KMU/Small & Medium-Sized Enterprises

Pari Sivaraj
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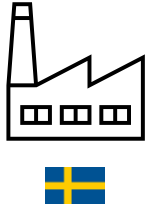
Research Process

Research conducted over 5 months, May to September 2025.

Consolidate the latest in AI adoption best practices:

- Recent industry publications
- Focus group with experts
- Two case studies of EU SMEs that implemented AI in:
  ❶ manufacturing ❷ research/consulting services



"a procedure… shown by research and experience to produce optimal results…"

Best Practices for AI Adoption in KMU/SMEs

- Technology
- **Organization**
- External environment

Culture | Leadership | Strategy | Collaboration

Resource constraints | Use Case Prioritization

Knowledge & Expertise | Communication

AI Adoption & Managing Change

John Kotter's 8-Step Change Model (1996)

- Create sense of urgency
- Build a guiding team
- Form a strategic vision
- Enlist volunteers
- Remove barriers
- Create short-term wins
- Sustain / accelerate change
- Institute change

1

Create sense of urgency

***Why* does the SME need AI?**

Importance of AI and urgency can come from many sources (SME leaders, employees, competitors etc.)

SME owners/leaders especially should understand the business opportunities of AI and convey it to the rest of the SME.

2

Build a guiding team

A cross-disciplinary team across different levels and departments to direct and oversee AI efforts.

For SMEs with limited staff, utilize external networks and partners.

Manufacturing SME formed an AI transformation group, comprising:

- Head of IT
- Data scientist
- Chief Financial Officer (CFO)
- Production manager
- Business manager

The mission of the group includes: translating the SMEs' AI transformation into customer value, evaluating AI capability gaps, facilitating AI learning.

3

Form a strategic vision

- Does the SME need AI for:

Increasing efficiency?

Competitive advantage?

- Decision: Off-the-shelf AI solutions, or customized AI solutions
- Set measurable goals. e.g. reducing costs or increasing speed, quality, customer satisfaction, revenue

Manufacturing SME's initial AI deployments targeted **efficiency gains**: in production planning, predictive maintenance, and purchasing optimization.

Consulting SME aimed to be an industry **leader in innovative research** methods.

4

Enlist volunteers

Select and empower interested “AI ambassadors” across different departments.

They will help educate / support other employees, generate use cases, and lead AI projects.

In the consulting SME, 3 individuals recognized as AI thought leaders:

- Generated awareness of opportunities to use AI during lectures and interactions with colleagues.
- Helped the firm stay sensitive to data developments and new technologies.

5

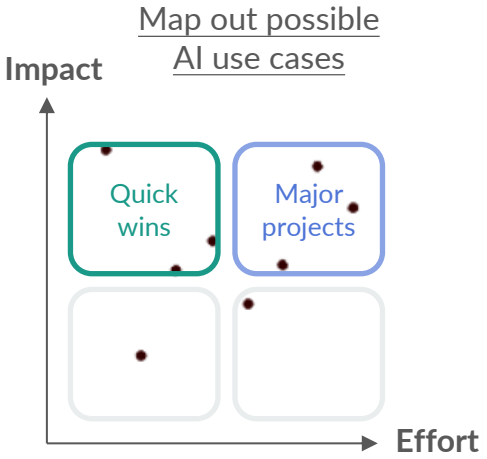
Remove barriers

- Create initial AI guidelines to reduce risks and address fears.
- Provide the time and resources for employees to learn and experiment with AI pilot projects.
- Use external partnerships to fill expertise and resource gaps.

- SME engaged external consultants to manage AI infrastructure + establish data management capabilities in the SME.
- Master's students developed AI-based applications for factory automation.

6

Create short-term wins



- Start with easy AI use cases, with off-the-shelf AI software

SME started with pilot projects in selected factories to improve manufacturing processes.

SME trialed AI in small parts of consulting projects (where clients were willing to jointly explore AI).

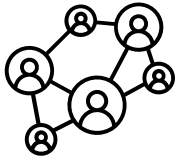
- Communicate successes.
- Gather lessons learned.
- Recognize the efforts of teams involved in pilot projects.

7

Sustain/accelerate change

Re-state the urgency for AI adoption.

Invest in developing internal AI capabilities.



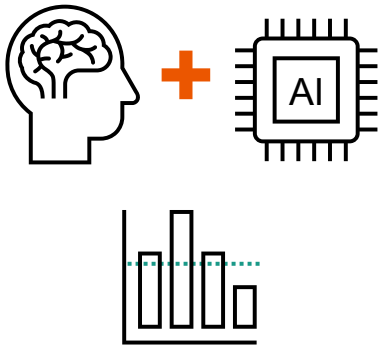
Scale up AI experimentation and solutions to more teams.

8

Institutionalize change

Reinforce new ways of working and transitions in roles and work profiles:

- humans doing manual, repetitive tasks → humans directing AI
- data-driven decision-making



Continuously assess progress with KPIs.

Key Points

1. SME leaders need to be clear on the need/urgency for AI

2. Does the SME need AI for efficiency optimization or competitive advantage?

3. Focus on easy AI use cases:
   - lower resources needed
   - success builds up mindset

4. Leverage external support & students

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Connect on

https://www.linkedin.com/in/parisivaraj